

earns from his investment. At the end of the year, the hedge fund reported the information in Exhibit 22:

Exhibit 1: Hedge Fund Investment

Gross return	8.46%
Trading expenses	1.10%
Managerial and administrative expenses	1.60%

The investor's after-tax return on the hedge fund investment is closest to:

- A. 3.60 percent.
- B. 3.98 percent.
- C. 5.00 percent.